

6. Avoid some risk metrics.

Conventional metrics, based on Mediocristan, adjusted for large deviations, don't work. This is where suckers fall in the trap—one far more extensive than just assuming something other than the Gaussian bell curve. Words like “standard deviation” are not stable and do not measure anything in the Fourth Quadrant. Neither do “linear regression” (the errors are in the Fourth Quadrant), “Sharpe ratio,” Markowitz optimal portfolio, ANOVA shmanova, Least square, and literally anything mechanistically pulled out of a statistics textbook. My problem has been that people can accept the role of rare events, agree with me, *and* still use these metrics, which leads me to wonder if this is a psychological disorder.

7. Positive or negative Black Swan?

Clearly the Fourth Quadrant can present positive or negative exposures to the Black Swan; if the exposure is negative, the true mean is more likely to be underestimated by measurement of past realizations, and the total potential is likewise poorly gauged.

Life expectancy of humans is not as long as we suspect (under globalization) because the data are missing something central: the big epidemic (which far outweighs the gains from cures). The same, as we saw, with the return on risky investments.

On the other hand, research ventures show a less rosy past history. A biotech company (usually) faces positive uncertainty, while a bank faces almost exclusively negative shocks.

Model errors benefit those exposed to positive Black Swans. In my new research, I call that being “concave” or “convex” to model error.

8. Do not confuse absence of volatility with absence of risk.

Conventional metrics using volatility as an indicator of stability fool us, because the evolution into Extremistan is marked by a lowering of volatility—and a greater risk of big jumps. This has fooled a chairman of the Federal Reserve called Ben Bernanke—as well as the entire banking system. It will fool again.

9. Beware presentations of risk numbers.

I presented earlier the results showing how risk perception is subjected to